

Dr. Munni Lal v. State of U.P. & Others

Allahabad High Court · Division Bench · 19 May 2011 · WRIT - C No. 21243 of 2011 · **Writ petition allowed (demand notice quashed; objections to be filed and decided)**

HEADNOTE

Clause 8.1(b)(iii) of the U.P. Electricity Supply Code, 2005 requires that, on suspicion of theft, the assessing officer serve the provisional assessment bill with a show-cause notice giving 15 working days to file objections and fixing a date for hearing, before making a final assessment under Section 126. A notice giving only seven days, and without fixing a hearing, does not comply. Further, a recovery demand under Section 3 of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958 can arise only after a final order of assessment; a demand issued before final assessment is quashed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1(b)(iii)

Theft assessment — mandatory 15-working-day show-cause notice and hearing

QUESTION

Was the provisional theft assessment valid where the show-cause notice gave only seven days and fixed no hearing?

HOLDING

No. Clause 8.1(b)(iii) requires a show-cause notice giving 15 working days to object and fixing a hearing date before a final assessment; a seven-day notice with no hearing date does not comply. No final order of assessment was passed, so the recovery demand was premature. ¶ [Section 126 / Clause 8.1\(b\)\(iii\) discussion \(unnumbered order\)](#)

LIMITING FACTS

The checking report was unsigned by the consumer; the show-cause notice gave only seven days and no hearing date; a recovery demand was enclosed before any final assessment.

INTERPLAY · UPDR1958::3

Recovery demand presupposes a final assessment

HOLDING

A demand under Section 3 of the 1958 Dues Recovery Act can be issued only after a final order of assessment is passed; a demand issued before final assessment is without authority and is quashed. ¶ [unnumbered order](#)

PRINCIPLE TAGS

opportunity-before-final-assessment A final theft assessment requires the Code's mandatory 15-working-day show-cause notice and a hearing; recovery cannot precede a final assessment. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS OF THE ASSESSMENT ON MERITS

Left to the objection/final-assessment process to be decided by a speaking order. ¶ [unnumbered order](#)